

sibility of public healthcare.

Low insurance penetration also raises questions about how the country can build a sustainable universal healthcare financing model. The Ayushman Bharat Scheme aims to cover 500 million people but concerns over hospital participation and reimbursements persist.

“To make healthcare a fundamental right, we need a major transformation. This requires unprecedented collaboration between the government, healthcare providers and the private sector. We must leverage India’s strengths in pharmaceuticals and technology to drive innovations that ensure widespread, cost-effective care,” says Ashutosh Raghuvanshi, MD & CEO, Fortis Healthcare.

With nearly 70% hospitals being privately run, affordability remains a big challenge. Some experts suggest India should consider regulating



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private healthcare costs similar to drug price controls, while others advocate a stronger PPP model to create a hybrid healthcare system.

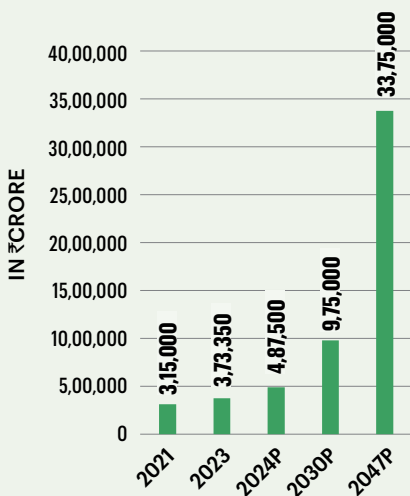
Digital health interventions such as telemedicine, AI-driven diagnostics and preventive care present opportunities for expanding access. “Enhancing public health expenditure and embracing digital health tools are crucial steps towards building a more resilient healthcare system,” says Raghuvanshi.

PHARMA’S DILEMMA: PROFIT OR ACCESS?

India is often referred to as the “pharmacy of the world.” It produces over 50% of the world’s vaccines. It is also the largest supplier of generic medicines, fulfilling approximately 20% of global demand for generics. However, the high costs of research and development

THE PHARMA BOOM

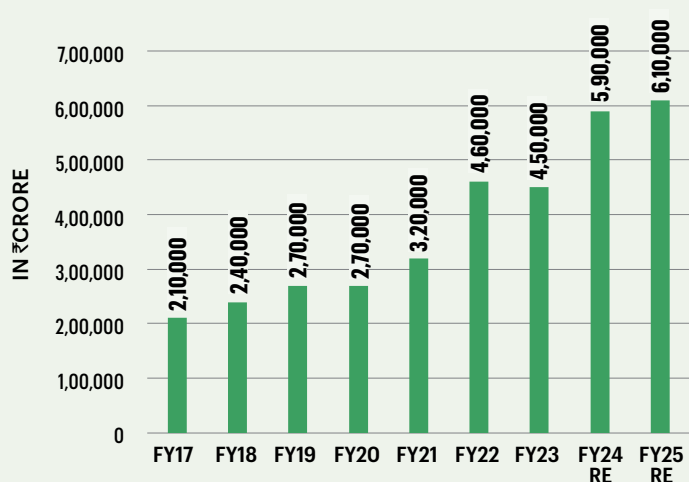
- Pharmaceutical market expected to expand sharply by 2047



P: PROJECTION **SOURCE** FROST & SULLIVAN, LSI FINANCIAL SERVICES, DELOITTE

RISE IN FUNDING

- FY25 health expenditure of Centre and states expected to rise 3.3% in FY25



SOURCE BUDGET DOCUMENTS OF UNION, STATE GOVERNMENTS, ECONOMIC SURVEY 2024-25; RE IS REVISED ESTIMATES